

23STCV22692 23STCV22692

County: los-angeles

Division: Civil Law and Motion

Department: 516

Hearing date: 2026-09-18

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Case Number: 23STCV22692 Hearing Date: September 18, 2026 Dept: 516

JUDGE JAMES I. MONTGOMERY

DEPARTMENT 516

Hearing Date: September 18, 2026

Case Name: Holy Roly Holdings Inc., et al. v. Holy Roly Melrose LLC, et al.

Case No.: 23STCV22692

Matter: Demurrer with Motion to Strike

Moving Party: Defendants Law Offices of Deacon Zhang, P.C. and Meng Gao

Responding Party: Plaintiffs Holy Roly Holding Inc., LKZ Enterprises, Inc., and Seung Jun Kim

Tentative Ruling: Defendants Law Offices of Deacon Zhang, P.C. and Meng Gao's demurrer is sustained in part and overruled in part.

Defendants Law Offices of Deacon Zhang, P.C. and Meng Gao's motion to strike is granted in part and denied in part.

Plaintiffs Holy Roly Holding Inc., a California corporation, LKZ Enterprises, Inc., a California corporation, and Seung Jun Kim, also known as Louis Kim (collectively "Plaintiffs"), filed this action against Defendants Holy Roly Melrose LLC, a California limited liability corporation, Yuekuo Ding, an individual, Leo Zhou ("Zhou"), an individual, TAG USA Consulting, Inc. ("TAG"), a California corporation, and Does 1 through 50. Plaintiffs' Second Amended Complaint ("SAC") alleges 14 causes of action for: (1) breach of contract (Franchise Agreement); (2) common counts: account stated; (3) common counts: open book account; (4) breach of oral agreement; (5) restitution; (6) intentional misrepresentation; (7) negligent misrepresentation; (8) failure to pay minimum wage; (9) failure to pay overtime; (10) unfair business practices; (11) indemnification; (12) breach of oral agreement; (13) unfair business practices; and (14) negligence.

On March 26, 2024, the Court deemed the present case related with Yuekuo Ding, et al. v. Seung Jun Kim, et al., Case No. 23STCV22750.

On February 24, 2026, Plaintiffs named Defendant Offices of Deacon Zhang, P.C. as Doe 2, and Defendant Meng Gao as Doe 3.

Defendants Offices of Deacon Zhang, P.C. and Meng Gao (collectively "Defendants") demur to Plaintiffs' eleventh, twelfth, thirteenth, and fourteenth causes of action for failure to allege sufficient facts. Defendants also move to strike Plaintiffs' eleventh, twelfth, thirteenth, and fourteenth causes of action and portions of the prayer for relief. Plaintiffs oppose.

Legal Standard

A demurrer is an objection to a pleading, the grounds for which are apparent from either the face of the complaint or a matter of which the court may take judicial notice. (Code Civ. Proc., § 430.30, subd. (a); see also Blank v. Kirwan (1985) 39 Cal.3d 311, 318.) The purpose of a

demurrer is to challenge the sufficiency of a pleading by raising questions of law. (Postley v. Harvey (1984) 153 Cal.App.3d 280, 286.) "In the construction of a pleading, for the purpose of determining its effect, its allegations must be liberally construed, with a view to substantial justice between the parties." (Code Civ. Proc., § 452.) The court "treat[s] the demurrer as admitting all material facts properly pleaded, but not contentions, deductions or conclusions of fact or law" (Berkley v. Dowds (2007) 152 Cal.App.4th 518, 525.) In applying these standards, the court liberally construes the complaint to determine whether a cause of action has been stated. (Picton v. Anderson Union High School Dist. (1996) 50 Cal.App.4th 726, 733.)

"The court may, upon a motion made pursuant to Section 435, or at any time in its discretion, and upon terms it deems proper: (a) Strike out any irrelevant, false, or improper matter inserted in any pleading. (b) Strike out all or any part of any pleading not drawn or filed in conformity with the laws of this state, a court rule, or an order of the court." (Code Civ. Proc., § 436.) "Immaterial" or "irrelevant" matters include allegations not essential to the claim, allegations neither pertinent to nor supported by an otherwise sufficient claim or a demand for judgment requesting relief not supported by the allegations of the complaint. (Code Civ. Proc., § 431.10, subds. (b)(1)-(3).)

Analysis

Meet and Confer

Pursuant to Code of Civil Procedure section 430.41, "a demurring party is required to meet and confer in person, by telephone, or video conference with the party that filed the pleading. . . ." (Code Civ. Proc. § 430.41, subd. (a).) A moving party in a motion to strike must meet and confer before filing the motion. (Code Civ. Proc. § 435.5, subd. (a).)

Defendants contend that the parties met and conferred on July 2, 2026. (Choi Decl., ¶ 3.) Thus, the parties met and conferred. However, the declaration fails to indicate whether the meet and confer was "in person, by telephone, or video conference". The Court will exercise its discretion to hear the demurrer and the motion to strike.

Demurrer

Procedural Defects

Both Plaintiffs and Defendants improperly attempted to incorporate arguments from the demurrer into the motion to strike and from the opposition to the motion to strike into the demurrer. "The memorandum must contain a statement of facts, a concise statement of the law, evidence and arguments relied on, and a discussion of the statutes, cases, and textbooks cited in support of the position advanced." (Cal. Rules of Court, rule 3.1113(b).)

Thus, the Court will not incorporate each party's arguments in the separate motions and oppositions because the parties must file separate memoranda to support or oppose each motion.

Fails to Allege Sufficient Facts

Defendants demur to Plaintiffs' SAC on the basis that Plaintiffs' eleventh, twelfth, thirteenth, and fourteenth causes of action fail to allege sufficient facts.

Eleventh Cause of Action—Indemnification

"Under the equitable indemnity doctrine, defendants are entitled to seek apportionment of loss between the wrongdoers in proportion to their relative culpability so there will be 'equitable sharing of loss between multiple tortfeasors.' [Citation.] The purpose of equitable indemnification is to avoid the unfairness, under joint and several liability theory, of holding one defendant liable for the plaintiff's entire loss while allowing another responsible defendant to escape 'scot free.' [Citation.] It is an extension of the comparative fault doctrine which allowed loss to be apportioned between plaintiff and defendants according to their respective responsibility for the loss." (Great Western Drywall, Inc. v. Interstate Fire & Casualty Co. (2008) 161 Cal.App.4th 1033, 1041.) "The elements of a cause of action for indemnity are (1) a showing of fault on the part of the indemnitor and (2) resulting damages to the indemnitee for which the indemnitor is contractually or equitably responsible." (Ibid.)

Defendants contend that Plaintiffs have not alleged any liability on Defendants because they allege no legal obligation. Plaintiffs based their claim on the fact that Defendant Zhou "represented to Plaintiffs" that Visapedia Inc., and Defendants "were legal professionals who would help with the franchising process." (SAC, ¶ 135.) Plaintiffs further allege that Plaintiffs entered into an oral agreement with Visapedia Inc. and Defendants "to set up the franchise for Holy Roly, including obtaining the investor, and preparing all necessary documents and licensing for the franchise." (Id. at ¶ 136.) Plaintiffs also allege that Zhou, Visapedia Inc., and Defendants assisted Plaintiff in entering a written franchise agreement and conducted negotiations on Plaintiff's behalf. Because on demurrer the Court takes the allegations as true, Plaintiffs have alleged sufficient facts.

Thus, the Court overrules the demurrer as to the eleventh cause of action.

Thirteenth Cause of Action—Unfair Business Practices

"[The UCL] governs 'anti-competitive business practices' as well as injuries to consumers, and has as a major purpose 'the preservation of fair business competition.'" (Cel-Tech Communications, Inc. v. Los Angeles Cellular Telephone Co. (1999) 20 Cal.4th 163, 180.) "When a plaintiff who claims to have suffered injury from a direct competitor's 'unfair' act or practice invokes section 17200, the word 'unfair' in that section means conduct that threatens an incipient violation of an antitrust law, or violates the policy or spirit of one of those laws because its effects are comparable to or the same as a violation of the law, or otherwise significantly threatens or harms competition." (Cel-Tech Communications, Inc. v. Los Angeles Cellular Telephone Co. (1999) 20 Cal.4th 163, 187.)

Defendants argue that Plaintiffs fail to allege sufficient facts because Plaintiffs do not allege unfair business practice and do not identify whether the cause of action is a competition case or a consumer case. The Court is persuaded. Plaintiffs' opposition does not address these arguments. Moreover, the allegations within the SAC are conclusory. (SAC, ¶¶ 152-153.)

Thus, the Court sustains the demurrer as to the thirteenth cause of action.

Twelfth and Fourteenth Cause of Action—Breach of Oral Agreement and Negligence

“The elements of a breach of oral contract cause are: “(1) existence of the contract; (2) plaintiff’s performance or excuse for nonperformance; (3) defendant’s breach; and (4) damages to plaintiff as a result of the breach.”(Aton Center, Inc. v. United Healthcare Ins. Co. (2023) 93 Cal.App.5th 1214, 1230.) The elements of a cause of action for negligence are: (1) the existence of a duty on the part of the actor toward another to take action to protect against risk; (2) the failure on the part of the actor to conform to a required standard of conduct in light of the duty imposed; (3) a reasonably close connection between the conduct and the resulting injury, commonly called “proximate cause”; and (4) actual loss or damage resulting from such injury.” (Koepke v. Loo (1993) 18 Cal.App.4th 1444, 1448.)

Defendants argue that Plaintiffs base their claims against Defendants based on an alleged duty to ensure that a Holy Roly was properly licensed as a franchisor. The Court is persuaded. Plaintiffs allege that they discovered that Holy Roly “may not have been properly licensed as a franchisor” based on Defendants’ promises and representations. (SAC, ¶¶ 149, 159.) Plaintiff bases its breach of contract and negligence claim on whether or not Holy Roly is franchised.

Thus, the Court sustains the demurrer as to the twelfth and fourteenth causes of action.

Therefore, the Court sustains the demurrer as to the twelfth, thirteenth, and fourteenth causes of action. The Court overrules the demurrer as to the eleventh cause of action.

Motion to Strike

Defendants move to strike the SAC as to Defendants and, in the alternative, the eleventh, twelfth, thirteenth, and fourteenth causes of action and prayer for punitive damages, indemnification, restitution, and statutory penalties, attorney’s fees, and interest.

Doe

“It is well established that if a complaint designating certain defendants as fictitiously named, does not state a cause of action against such defendants, the statute of limitations is not tolled by the filing of the original complaint; and as to the fictitiously named defendants, the statute commences to run from the date of the alleged wrongful acts.” (Lipman v. Bhend (1963) 213 Cal.App.2d 474, 480 (emphasis added).) “If the requirements of section 474 are satisfied, the amended complaint substituting a new defendant for a fictitious Doe defendant filed after the statute of limitations has expired is deemed filed as of the date the original complaint was filed.” (Woo v. Superior Court (1999) 75 Cal.App.4th 169, 176.)

Defendants move to strike the Complaint as to themselves or, in the alternative, Plaintiffs’ eleventh, twelfth, thirteenth, and fourteenth causes of action because they argue that

Plaintiffs were not ignorant of their name pursuant to Code of Civil Procedure section 474. However, Defendants’ motion to strike is procedurally improper. Defendants argue that the statute of limitations lapsed; however, that argument is improper to raise on a motion to strike. Nor have Defendants presented authority to support such proposition.

Thus, the Court denies Defendants’ motion to strike the SAC as to them.

Causes of Action

Defendants move to strike the causes of action against them. However, Defendants make no additional arguments.

Thus, the Court denies Defendants' motion to strike the causes of action against them.

Punitive Damages

A plaintiff can recover punitive damages in tort cases where "the defendant has been guilty of oppression, fraud, or malice." (Civ. Code § 3294, subd. (a).) Punitive damages thus require more than the mere commission of a tort. (Grieves v. Superior Court (1984) 157 Cal.App.3d 159, 166 (Grieves).) "In order to survive a motion to strike an allegation of punitive damages, the ultimate facts showing an entitlement to such relief must be pled by a plaintiff." (Clauson v. Superior Court (1998) 67 Cal.App.4th 1253, 1255.)

Here, the allegations against Defendants do not support the demand for punitive damages.

In opposition, Plaintiffs argue that they do not seek punitive damages against Defendants. However, the SAC states that it seeks relief against all Defendants in the action.

Thus, the Court grants Defendants' motion to strike punitive damages.

Interest

Defendants move to strike the recovery of prejudgment interest because Plaintiffs have not alleged oppression, fraud, or malice against them. The Court is persuaded.

"In an action for the breach of an obligation not arising from contract, and in every case of oppression, fraud, or malice, interest may be given, in the discretion of the jury." (Civ. Code, § 3288.) "A person who is entitled to recover damages certain, or capable of being made certain by calculation, and the right to recover which is vested in the person upon a particular day, is entitled also to recover interest. . ." (Civ. Code, § 3287, subd. (a).)

Plaintiffs have not alleged oppression, fraud, or malice against Defendants. Additionally, Plaintiffs have not identified a certain amount owed by Defendants.

Thus, the Court grants Defendants' motion to strike prejudgment interest.

Attorney's Fees

If a party is "entitled by statute or contract to attorney fees, that fact should have been pleaded in the complaint and a demand included in the prayer." (Wiley v. Rhodes (1990) 223 Cal.App.3d 1470, 1473.)

Plaintiffs do not allege any facts supporting a statutory or contractual basis for attorney's fees.

Thus, the Court grants Defendants' motion to strike attorney's fees.

Paragraphs 42-132

“A notice of motion to strike a portion of a pleading must quote in full the portions sought to be stricken except where the motion is to strike an entire paragraph, cause of action, count, or defense. Specifications in a notice must be numbered consecutively.” (Cal. Rules of Court, rule 3.1322(a).)

Defendants argue that paragraphs 42 through 132 should be stricken because the allegations are improper. However, Defendants' notice does not list these paragraphs; thus, Defendants did not provide proper notice.

Thus, the Court denies Defendants' motion to strike paragraphs 42-132.

Leave to Amend

Leave to amend must be allowed where there is a reasonable possibility of successful amendment. (See *Goodman v. Kennedy* (1976) 18 Cal.3d 335, 349 [court shall not “sustain a demurrer without leave to amend if there is any reasonable possibility that the defect can be cured by amendment”]; *Kong v. City of Hawaiian Gardens Redevelopment Agency* (2002) 108 Cal.App.4th 1028, 1037 [“A demurrer should not be sustained without leave to amend if the complaint, liberally construed, can state a cause of action under any theory or if there is a reasonable possibility the defect can be cured by amendment.”]; *Vaccaro v. Kaiman* (1998) 63 Cal.App.4th 761, 768 [“When the defect which justifies striking a complaint is capable of cure, the court should allow leave to amend.”].) The burden is on the complainant to show the Court that the pleading can be successfully amended. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.)

Plaintiff requested and will be given the opportunity to file an amended pleading as to the twelfth, thirteenth, and fourteenth causes of action.

Conclusion

Defendants Law Offices of Deacon Zhang, P.C. and Meng Gao's demurrer is sustained as to the twelfth, thirteenth, and fourteenth causes of action.

Defendants Law Offices of Deacon Zhang, P.C. and Meng Gao's demurrer is overruled as to eleventh cause of action.

Defendants Law Offices of Deacon Zhang, P.C. and Meng Gao's motion to strike is granted as to punitive damages, prejudgment interest, and attorney's fees.

Defendants Law Offices of Deacon Zhang, P.C. and Meng Gao's motion to strike is denied as to the Doe Defendants, the eleventh, twelfth, thirteenth, and fourteenth causes of action, and paragraphs 42-132.

Plaintiff shall have leave to amend as to the twelfth, thirteenth, and fourteenth causes of action and must file an amended complaint by September 28, 2026.